d. May dispose of his warrants at a cash profit and retain his original security, ex-warrants. (The warrant may be sold directly, or he may subscribe to the stock and immediately sell it at the current indicated profit.)

The fourth option listed above is peculiar to a subscription-warrant issue and has no counterpart in convertible or participating securities. It permits the holder to cash his profit from the speculative component of the issue and still maintain his original *investment* position. Since the typical buyer of a privileged senior issue should be interested primarily in making a sound investment—with a secondary opportunity to profit from the privilege—this fourth optional course of conduct may prove a great convenience. He is not under the necessity of selling the entire commitment, as he would be if he owned a convertible, which would then require him to find some new medium for the funds involved. The reluctance to sell one good thing and buy another, which characterizes the typical investor, is one of the reasons that holders of high-priced convertibles are prone to convert them rather than to dispose of them. In the case of participating issues also, the owner can protect his *principal* profit only by selling out and thus creating a reinvestment problem.

Example: The theoretical and practical advantage of subscription-warrant issues in this respect may be illustrated in the case of Commercial Investment Trust Corporation 6 1/2% Preferred. This was issued in 1925 and carried warrants to buy common stock at an initial price of $80 per share. In 1929 the warrants sold as high as $69.50 per share of preferred. The holder of this issue was therefore enabled to sell out its speculative component at a high price and to retain his original preferred-stock commitment, which maintained an investment status throughout the depression until it was finally called for redemption at 110 on April 1, 1933. At the time of the redemption call the common stock was selling at the equivalent of about $50 per old share. If the preferred stock had been convertible, instead of carrying warrants, many of the holders would undoubtedly have been led to convert and to retain the common shares. Instead of netting a large profit they would have been faced with a substantial loss.

Summary. To summarize this section, it may be said that, for *long-pull holding*, a sound participating issue represents the best form of profit-